

Calendar Line 2

Case Name: *Claudine Saldivar, et al. v. Stanford Federal Credit Union, et al.*

Case No.: 20CV367408

This is a putative class action against defendant Stanford Federal Credit Union alleged various claims for wrongfully charged plaintiffs Claudine Saldivar and Omar Montes (collectively, “Plaintiffs”) and class members fees relating to their checking accounts.

Before the Court is Plaintiffs’ motion for preliminary approval of class action settlement, which is not opposed. As discussed below, Plaintiffs’ motion is GRANTED.

I. BACKGROUND

According to the allegations of the operative First Amended Complaint (“FAC”), Stanford offers its banking customers a checking account which features the use of a debit card. (FAC, ¶ 14.) In connection with the processing of debit transactions, Stanford charges what it calls “Insufficient Funds Fee ACH Debit (Returned), “Insufficient Funds Fee CK,” “Insufficient Funds Fee ACH Debit (Paid)” and “Premium Overdraft Fee.” (*Id.*, ¶ 15.) Overdraft fees and Nonsufficient Funds Fees (“NSF Fees”) constitute the primary fee generators for banks and credit unions and are usually punitive to customers given their high cost. (*Id.*, ¶¶ 16-17.)

One accounting gimmick used by Stanford and other institutions is an “approve-positive-post-negative” (“APPN”) method of calculation, which works as follows: at the moment a debit card transaction is authorized on an account with positive funds to cover it, Stanford immediately reduces the consumer’s checking account for the amount of purchase, sets aside funds in a checking account to cover that transaction, and as a result, the consumer’s displayed “available balance” reflects that subtracted amount. (FAC, ¶ 21.) Consequently, the consumer’s account will always have sufficient available funds to cover these transactions. (*Ibid.*) However, Stanford still assesses \$20 overdraft fees on many of these transactions and misrepresents its practices in its account documents. (*Id.*, ¶ 22.) Because Stanford places a hold on funds when the debit card is used to make a purchase, those funds are not available for any other use by the accountholder, which means when any *subsequent*, intervening transactions are initiated on a checking account, they are compared against an account balance that has already been reduced to account for any earlier transactions. (*Id.*, ¶ 24.) Accordingly, many subsequent transactions incur overdraft fees due to the unavailability of the funds sequestered for those debit card transactions. (*Id.*) Despite keeping these held funds off limits for other transaction, Stanford improperly charges overdraft fees on those APPN transactions, although the APPN transactions always have sufficient available funds to be covered. (*Id.*, ¶ 25.)

While Stanford is contractually permitted to charge overdraft fees for transactions that are authorized into a negative account balance, it is not permitted to do so for APPN transactions, i.e., those transactions that occur when sufficient funds exist to cover them. (FAC, ¶¶ 35-36.) Stanford’s actual practice is to attempt the same debit card transaction twice to determine if the transaction overdraws the account- both at the time a transaction is authorized and later at time of settlement. However, at the moment prior to settlement, Stanford releases the hold placed on funds for the transaction for a split second, putting money

back in the account, and then re-debits the same transaction a second time. (*Id.*, ¶ 41.) This “secret” step allows Stanford is to charge overdraft fees on transactions that should never have been subject to them because they were authorized into sufficient funds and funds were set aside by Stanford to pay for them. (*Id.*, ¶ 42.)

Based on the foregoing allegations, Plaintiff Claudine Saldivar initiated this action in June 2020 and both her and Mr. Montes filed the operative FAC on July 25, 2023, asserting the following causes of action: (1) breach of contract; (2) breach of the implied covenant of good faith and fair dealing; (3) unjust enrichment/restitution; (4) money had and received; and (5) violation of Unfair Competition Law (Bus. & Prof. Code, § 17200, et seq.).

Plaintiffs now seek an order: conditionally certifying the class for settlement purposes; preliminarily approving the class action settlement (the “Settlement”); appointing Plaintiffs as the class representatives; appointing Simpluris, Inc. (“Simpluris”) as the Settlement administrator; and approving the class notice.

II. LEGAL STANDARD FOR SETTLEMENT APPROVAL

B. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the “proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.” (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that “the consideration being received for the release of the class members’ claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation.” (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial

court must be “provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise.” (*Id.* at pp. 130, 133.)

III. SETTLEMENT PROCESS

On June 19, 2020, Plaintiff Saldivar initiated this action with the filing of the Complaint. On April 2, 2021, the parties engaged in mediation before Hon. Gail Andler (Ret.) but they were unable to reach an agreement. The parties engaged in extensive written discovery, including multiple sets of requests for production, special interrogatories, form interrogatories, and requests for admission. Defendant produced four months of sample class transaction data which contained sufficient information to identify the class members and their damages—which was then analyzed by Plaintiffs’ expert.

On January 26, 2023, Plaintiff Angelica Carrillo filed her action (*Carrillo v. Stanford Federal Credit Union* [23CV410517] (*Carrillo*)) in this Court which asserted an issue already alleged and subsumed by the instant action.¹ On July 25, 2023, Plaintiff Saldivar filed the operative FAC, which added Plaintiff Montes to the instant action. On August 21, 2023, Defendant filed a motion to compel arbitration as to Plaintiff Montes’ claims. On October 24, 2023, the Court (Hon. Kulkarni) issued its order, which denied Defendant’s motion to compel arbitration. On September 9, 2024, Defendant filed a motion for summary judgment. On May 8, 2025, Plaintiffs filed their motion to compel attendance at deposition.

The parties continued to negotiate a settlement and agreed upon the Settlement currently before the Court.

IV. SETTLEMENT PROVISIONS

The non-reversionary gross settlement amount is \$450,000. Attorneys’ fees of up to one-third (\$150,000), litigation costs of up to \$40,000 and settlement administration costs. Plaintiffs Saldivar and Montes will seek class representative service awards for up to \$10,000 and Plaintiff Carrillo will seek an award for up to \$7,500.

The net settlement amount will be allocated to “Class Members,” who are defined as “any Stanford Federal Credit Union Member who has or had an account with Stanford Federal Credit Union who from June 19, 2016 through September 22, 2025 was charged two or more NSF Fee follows by an OD Fee on the same ACH transaction or check.” Funds associated with checks uncashed after 180 days will be transmitted to Public Citizen Foundation.

In exchange for settlement, Class Members who do not opt out will release:

[A]ny and all losses, fees, charges, complaints, claims, debts, liabilities, demands, obligations, costs, expenses, actions, and causes of action of every nature, character, and description, whether known or unknown, asserted or unasserted, suspected or unsuspected, fixed or contingent, which the Saldivar Plaintiffs and Angelica Carrillo and Class Members who do not opt out now have, own or hold against any of the Defendant Releasees arising out of Defendant's assessment of

¹ The *Carrillo* parties are also signatories to the Settlement.